



TOWN OF TIBURON
1505 Tiburon Boulevard
Tiburon, CA 94920

To: Mayor and Members of the Town Council

From: Community Development Department

Subject: Recommendation to Accept Annual Reporting of Development Impact Fees Pursuant to the California Government Code

Reviewed By:  
Greg Chanis, Town Manager Benjamin Stock, Town Attorney

SUMMARY

The Town of Tiburon imposes three categories of fees that qualify this fiscal year as development fees. These categories are: 1) traffic impact fees; 2) street impact fees; and 3) stormwater runoff fees. State law requires end of year reporting of these development fees.

RECOMMENDED ACTION(S)

1. Staff recommends the Town Council accepts this annual report as part of the Consent Calendar.

BACKGROUND

Similar to most cities and counties in California, the Town of Tiburon imposes public facilities fees on development projects during the approval process. Certain of these fees are categorized as “development fees” under Section 66000 et seq. of the California Government Code. Section 66006 of that code requires specific data regarding development fees to be made available to the public within 180 days following the end of each Fiscal Year (i.e., by December 27), with a public meeting held on the matter at the next regularly scheduled meeting following release of the data. Section 66001 of that code requires specific data regarding development fees to be made available to the public every five fiscal years. This report sets forth the required annual data reporting for the Town’s development fee accounts for Fiscal Year 2023-2024, which closed on June 30, 2024.

ANALYSIS

The Town of Tiburon imposes three categories of fees that qualify as development fees. These categories are: 1) traffic impact fees; 2) street impact fees; and 3) stormwater runoff fees. In addition, the town has collected fees for public traffic improvements (Planning Area Mitigation Fund) in areas outside of the Town incorporated limits. These funds were collected prior to 2017; there are no new fees collected for this account.

Park and recreation in-lieu fees and affordable housing in-lieu fees, which the Town also collects, are not defined as development fees. Required reporting data for each of the Town's three development fee categories is shown below.

TRAFFIC MITIGATION FEES

Traffic mitigation fees have been collected by the Town since 1980; the two current fee accounts were established in 1996, each addressing different portions of the Tiburon Planning Area. In August 2017, the Town Council adopted updated traffic mitigation fees that consolidate the collection of newly received traffic impact fees into a single account that also contains the prior fees collected for improvements within the Town's corporate limits, which is called the Circulation System Improvement Fund. The pre-existing Planning Area Mitigation Fund will continue to exist but will not receive any new contributions.

Circulation System Improvement Fund (CSIF): This fund contains the collected exactions for construction of public traffic improvements in the incorporated portions of the Tiburon Planning Area prior to October 15, 2017, and all traffic mitigation fees subsequently collected. The fee varies depending on the location of the project in relation to intersections identified in the General Plan Circulation Element as requiring improvement. The purpose of this fee is to construct and design traffic and streets to accommodate increased use due to new development. There is a reasonable relationship between the amount of the fee and the purpose for which it is charged because the fee represents the Town's proportionate costs of constructing traffic and street projects to serve new development and the fee revenues will be used for the purpose of constructing traffic and street projects that will serve new development.

The fee is \$7,174.76 per new PM peak hour trip generated.

TIBURON CIRCULATION SYSTEM IMPROVEMENT FUND	
Fund Balance, July 01, 2023	\$72,565
Revenues:	
Fees Collected	0
Interest Income	\$3,654
TOTAL REVENUES	\$3,654
Expenditures:	\$0
TOTAL EXPENDITURES	\$(0)
Fund Balance, June 30, 2024	\$76,219

No interfund loans, transfers or refunds were issued to or from this account in fiscal year 2023-2024.

In Fiscal Year 2023 \$72,850 was used for the Traffic and Circulation Element of the General Plan. 100% of these funds are accumulated and then used toward a) ongoing costs associated with the required periodic updates of the Traffic and Circulation Element of the General Plan as well as for b)

periodic Traffic Studies contracted for the Town.

Planning Area Mitigation Fund (PAMF): This fund contains the collected exactions for public traffic improvements in portions of the Tiburon Planning Area outside of the Town's corporate limits. As of October 15, 2017, this fee is no longer collected.

The purpose of this fee was to construct and design and traffic and streets in unincorporated property to accommodate increased use due to new development. There is a reasonable relationship between the amount of the fee and the purpose for which it is charged because the fee represents the Town's proportionate costs of constructing traffic and street projects to serve new development and the fee revenues will be used for the purpose of constructing traffic and street projects that will serve new development.

TIBURON PLANNING AREA MITIGATION FUND	
Fund Balance, July 01, 2023	\$ 204,708
Revenues:	
Fees Collected	\$0
Interest Income	\$5,165
TOTAL REVENUES	\$ 0
Expenditures:	\$0
TOTAL EXPENDITURES	\$(0)
Fund Balance, June 30, 2024	\$209,873

The Town anticipates using 100% of these funds for the following projects over the next several years:

- Bike and pedestrian safety improvements along Tiburon Blvd
- Improvements at the Hwy 101 interchange with Tiburon Blvd
- Contributions to planned CalTrans improvements to Tiburon Blvd
- Contributions to bike and pedestrian studies and/or improvements along Paradise Drive.

Street Impact Fee

The street impact fee went into effect in July 1999. This fee partially offsets the Town's costs of public roadway maintenance by assessing a fee of 1.0% (.01) on the valuation of all building permits issued by the Town. For example, a project with a \$100,000 building permit valuation would therefore be subject to a street impact fee of \$1,000.

The purpose of this fee is to construct and maintain streets to accommodate increased use due to new

development. There is a reasonable relationship between the amount of the fee and the purpose for which it is charged because the fee represents the Town's proportionate costs of constructing streets to serve new development and the fee revenues will be used for the purpose of constructing streets that will serve new development.

TIBURON STREET IMPACT FUND		
Fund Balance, July 01, 2023		\$ 3,376,615
Revenues:		
Fees Collected	\$864,862	
Interest Income	\$66,447	
Refund/Reimbursement	\$0.00	
TOTAL REVENUES		\$931,309
Expenditures:	\$2,275,408	
TOTAL EXPENDITURES		\$2,275,408
Fund Balance, June 30, 2024		\$2,032,516

In fiscal year 2023-2024, the Town spent \$2,275,408 (53%) of Street Impact Fees on Streets Related projects which totaled \$4,277,280 for the year. No refunds or transfers were issued from this account in Fiscal Year 2024.

100% of funds collected through Street Impact Fees will be used to fund annual, on-going Pavement Maintenance projects, in conjunction with State and County funding committed to Streets Maintenance.

Stormwater Runoff Fee

The Town began collecting stormwater runoff fees, also known as impervious surface fees, in 2005. The stormwater impact fee helps recover the costs of upgrading the Town's public storm drain system to accommodate additional runoff caused by new construction. The fee is \$1.00 per square foot of new impervious surface created by construction projects. These funds will be made available to support future storm drain infrastructure projects.

The purpose of this fee is to construct and design storm drain infrastructure to accommodate increased water runoff due to new development. There is a reasonable relationship between the amount of the fee and the purpose for which it is charged because the fee represents the Town's proportionate costs of constructing and designing storm drain infrastructure to serve water runoff caused by new development and the fee revenues will be used for the purpose of constructing and designing storm drain infrastructure to serve water runoff caused by new development.

STORMWATER RUNOFF (DRAINAGE IMPACT) FUND	
Fund Balance, July 01, 2023	\$195,680
Revenues:	
Fees Collected	\$38,999
Interest Income	\$5,949
TOTAL REVENUES	\$44,948
Expenditures:	\$0
TOTAL EXPENDITURES	\$0
Fund Balance, June 30, 2024	\$240,628

Storm Drain maintenance projects were funded entirely using Town Reserves in fiscal year 2023-2024; No inter-fund loans, transfers, or refunds were issued to or from this account in Fiscal Year 2023-2024.

100% of Stormwater Runoff funds will be used to fund annual, on-going Storm Drain maintenance projects, in conjunction with Town Reserves over the next several years.

FINANCIAL IMPACT

The information provided is an annual report of development fees. There is no fiscal impact to accepting this report.

ENVIRONMENTAL REVIEW

Staff has preliminarily determined that adoption of this item is statutorily exempt from the requirements of the California Environmental Quality Act (CEQA) pursuant to Section 15378 of the CEQA Guidelines in that it does not constitute a project under CEQA, and if it were found to constitute a project, it would be exempt pursuant to the general rule set forth in CEQA Guidelines Section 15061 (b)(3).

RECOMMENDATION

Staff recommend the Town Council accepts this annual report as part of the Consent Calendar.

Prepared By: Dina Tasini, Director of Community Development
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